

Fearnleys Tanker Sanctions Special Report

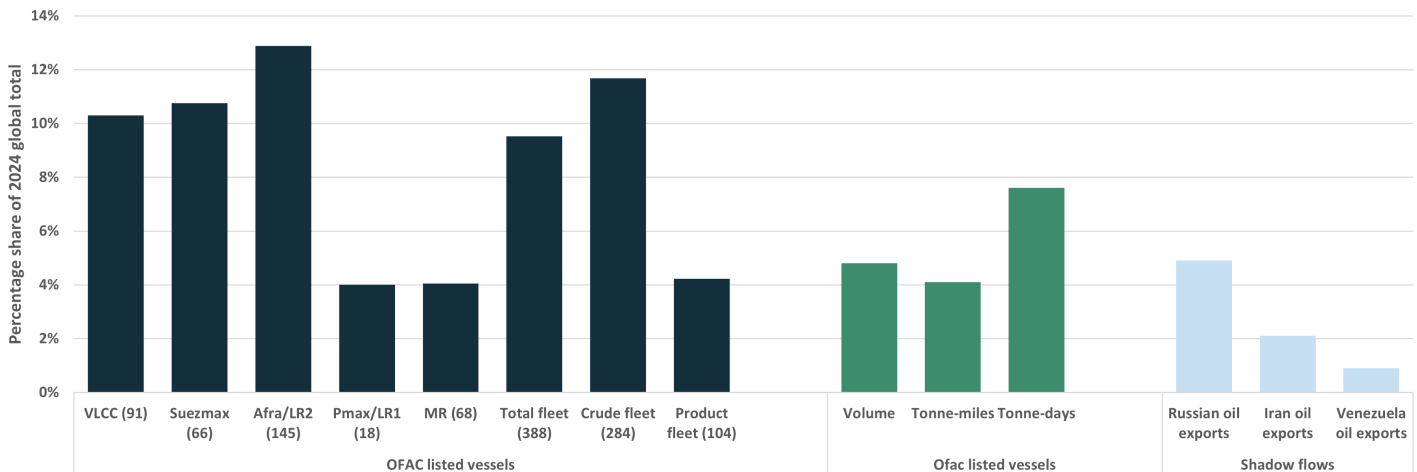
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Biden's departing surprise

After more than three years of near total complacency, the Biden administration has recently taken significant steps toward stopping sanctioned oil flows. The significant new sanctions and response from relevant authorities in receiving countries boosts the tanker market outlook, which may now tilt toward a bull case for this year. With soaring FFA rates and more enquiries for TCs, asset values may again climb too. The main question and decider for how much of a boost the market may receive is how stringently these sanctions will be enforced - history shows where there are sanctions, there are also loopholes.

Percentage share of 2024 global total



Source: OFAC, Fearnleys, Vortexa

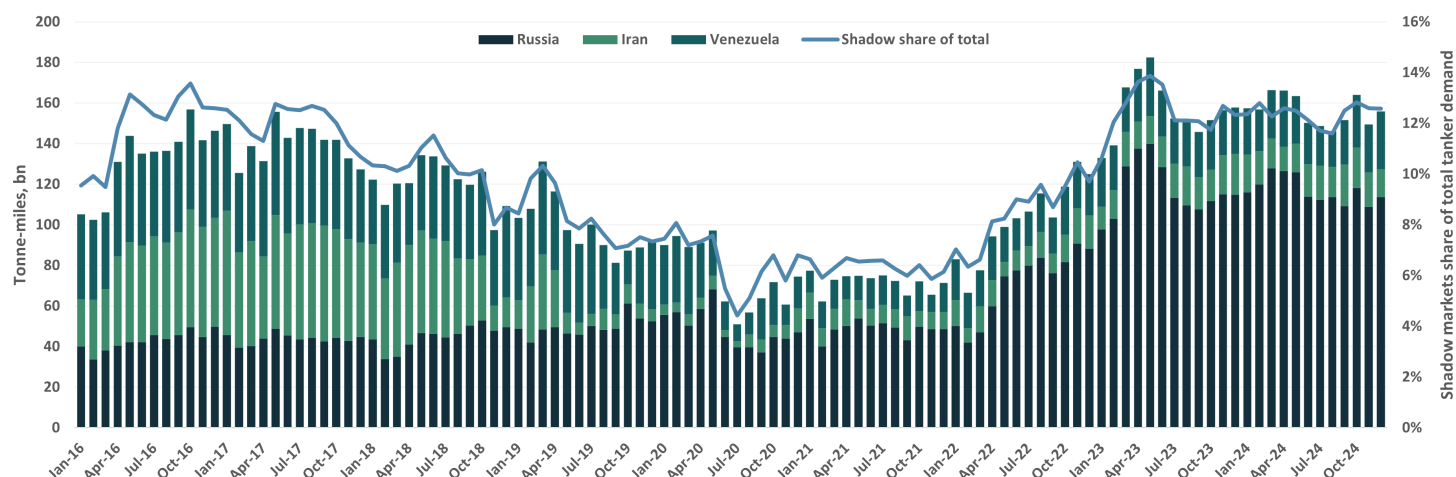
Tanker market impact

With a significant portion of the fleet now being sanctioned, Russia and Iran may have to reduce exports and/or renew the shadow fleet - both of which will contribute to tightening the 'normal' tanker market. This was already (slowly) strengthening, especially for the biggest vessels, and now the outlook has become much stronger also for Suez- and Aframaxes. For product tankers there is less impact, other than trickle-down from the bigger siblings.

The equally important factor of the last week's sanctions news is India and Shandong's tough stance on OFAC vessels. This should (and has already started to) lead the buyers of Iranian and Russian oil to divert purchases to other sources. Over recent weeks the spot premiums for Middle Eastern crudes has jumped and there has also been increased Asian buying from West Africa, the USG and the North Sea. That may now accelerate, unless the OPEC+ reverses cuts earlier than currently planned.

The little evidence so far suggests that OFAC sanctions are relatively effective as vessels previously placed on the list have become much less active, and in some cases idled entirely. Unless there are sanction waivers, or complete disregard by key market players, the last week's sanction news is likely to have a meaningful impact on the tanker market given the scale of the clampdown. This shifts the market outlook toward a bull-case for this year.

Shadow market tonne-miles



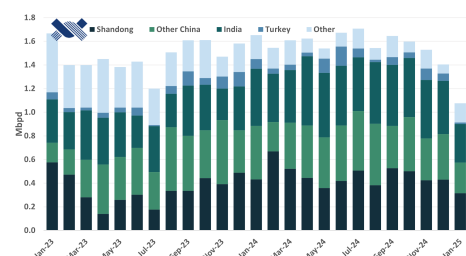
Source: Vortexa

The latest batch of OFAC sanctions includes 183 vessels, of which 129 are (relevant) tankers: 4 VLCCs, 24 Suez, 75 Aframax, 2 LR1s and 23 MR/Handy, which are on average built in 2008. The total OFAC list now includes nearly 400 (relevant) tankers: 91 VLCCs, 66 Suez, 145 Aframax, 18 Pmax/LR1 and 68 MR/Handy. This equates to just below 10% of the total tanker fleet, split between nearly 12% of the crude tanker fleet and slightly more than 4% of product tankers. 20% of the ice class Aframax fleet is now sanctioned, and another about 30% will definitely not do Russian business, which may also give the Russians some challenges this winter.

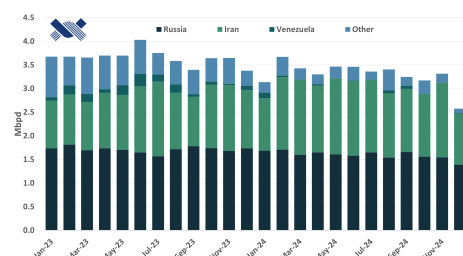
The newly added vessels have on average lifted 1.6 mbpd over the last year, 94% from Russia (26% of Russian oil exports) and 84% crude oil. Nearly 500 kbpd has been lifted into Shandong. About half of the flow has gone to other countries than China, most prominently India and Turkey. Thus, three quarters of the flow has gone to regions that will have to adhere by U.S. sanctions going forward.

The vessels on the total OFAC list lifted 3.3 mbpd last year, 88% of which was crude oil. This equates to 4.8% of total seaborne oil, and 4.1% of tonne-miles. Due to the inefficient nature of shadow flows, however, these vessels performed 7.6% of total tonne-days. About one third of the total volume was carried into Shandong, and a full 80% went into areas which now cannot accommodate OFAC vessels after the recent Shandong ban and Indian stance.

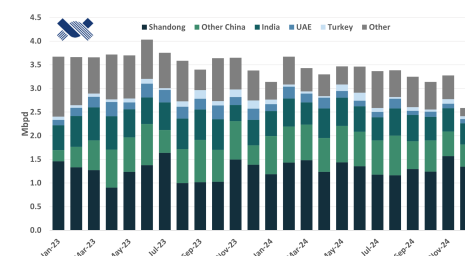
Newly added OFAC tanker flow by destination



Total OFAC tanker flow by origin



Total OFAC tanker flow by destination



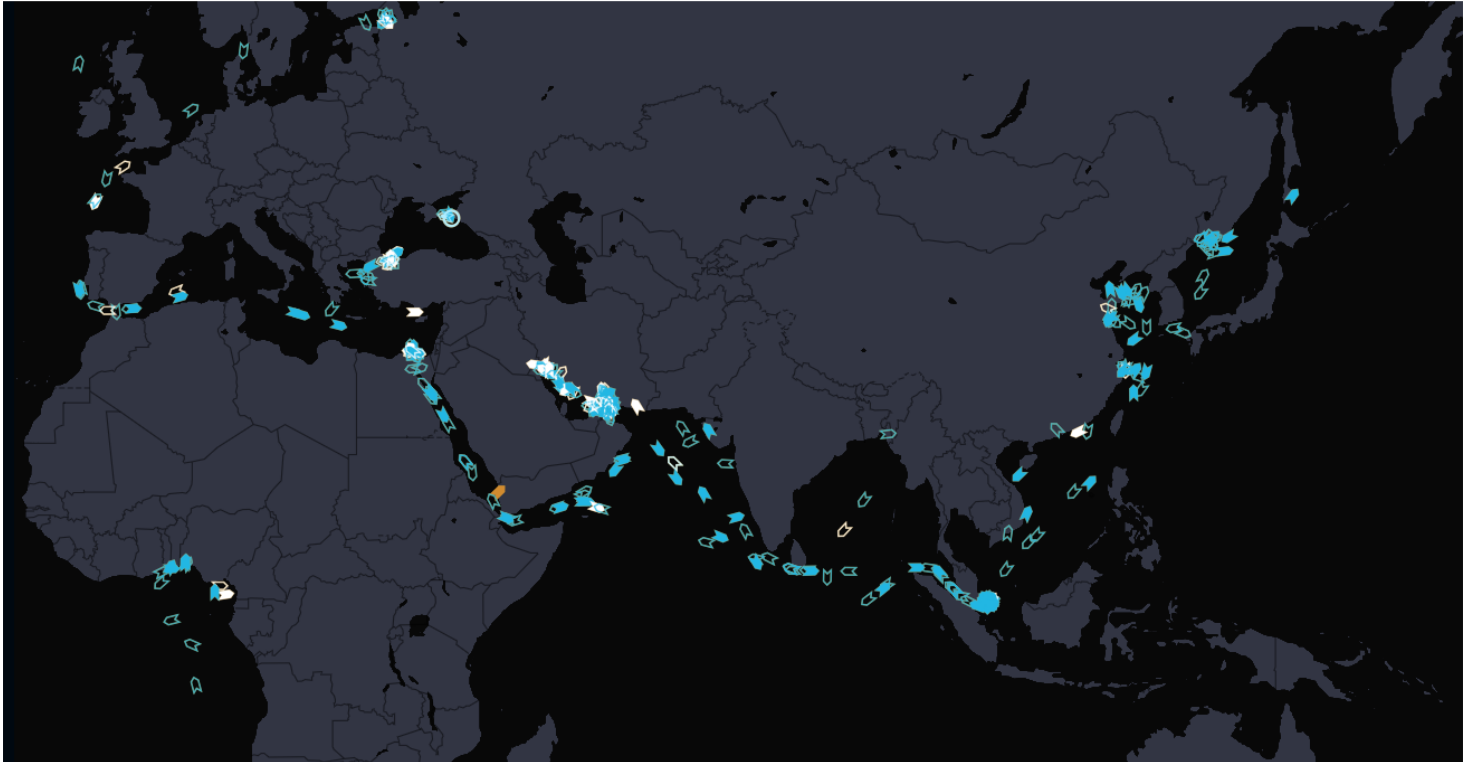
Source: Vortexa

Of the vessels on the OFAC list, we find 135 which are current laden, most of which with Russian and Iranian crude. This may cause some further increase in floating storage going forward, as these may find a harder time discharging despite a wind-down period until 12 March - quite a few are observed stopping the last few days. There has already been some increase in floating storage of Iranian crude in recent weeks and months after a drawdown until around the time of the U.S. Election, which points to buyers shying away.

Furthermore, and crucially, two of the largest Russian insurance companies, Ingosstrakh Insurance Company and Alfastrakhovanie Group, have also been sanctioned. These have been the predominant providers of insurance for the Russian shadow fleet, which could also pose some difficulties for Russian exports unless the price falls below the G7 price cap.

The US also blacklisted Chinese state-owned operator Shandong United Energy Pipeline Transportation for providing services to Sovcomflot, which could be part of the reason why the Shandong Port Group has announced it will no longer accept OFAC listed tankers. Shandong United Energy Pipeline Transportation accounts for half the crude pipeline capacity from Yantai Port.

OFAC listed tankers trade map



Source: Vortexa

Oil market impact

The sweeping sanctions, and equally the response from importing countries (India) and ports (China), suggests there will be growing difficulties for Iran and Russia to find shipping and buyers, and that there is downside risk to sanctioned flows going forward. How much will depend on how stringently these sanctions are enforced and how much Russia and Iran are willing to lower prices and accept higher freight costs.

So far into the new year, the oil market appears to be much tighter than the IEA's significantly oversupplied expectation, with soaring flat prices, steepening backwardation, and higher refinery margins. Some of the strengthening oil price even before the sanctions news was due to lower than expected non-OPEC+ production recently, and better than expected (or, feared) demand, the latter partly due to a cold winter.

There is probably downside risk to Russian exports also this year, after last year's 200 kbpd y/y decline. Similarly, Iranian exports have declined by about 300 kbpd in recent months from the 2024 average, and there is further downside risk if Shandong upholds the stance on OFAC listed tankers.

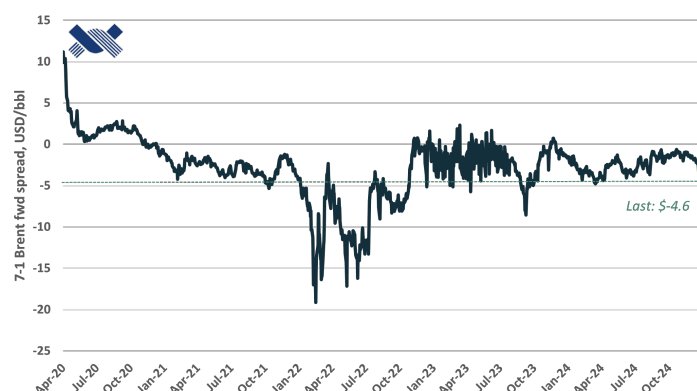
To offset this, especially if oil prices strengthen further, there may be some pressure from the U.S. and China on Saudi

Arabia and the OPEC+ to unwind cuts as planned, or before. Otherwise, there may be some risk to oil demand due to a fragile macroeconomic backdrop.

The latter risk, along with strong expected non-OPEC+ supply and ample OPEC+ spare capacity, is also one reason why there may be a limit to how far the oil price can rise, likely not beyond last year's trade range of \$70-90/bbl. However, while the risk before this was more likely to the low end of the range or even lower, that has now changed.

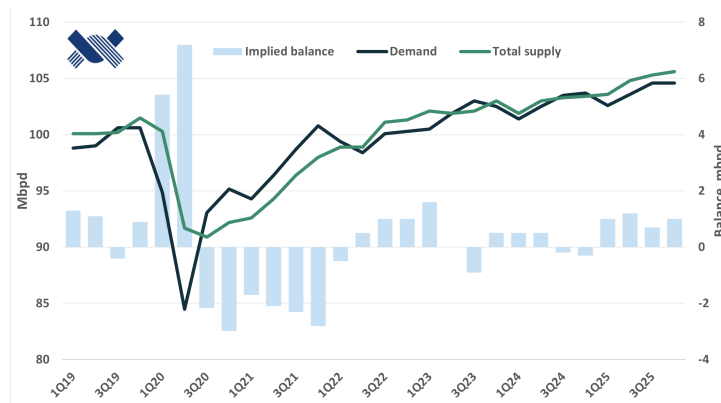
An intriguing question is whether these new sanctions were coordinated with the incoming Trump administration. While it puts increased pressure on Putin to come to the negotiation table, it also gives Trump some difficult choices amid higher energy costs - contrary to his campaign trail promises. Drill-baby-drill might just not cut it, as production recently has been somewhat underwhelming amid low activity.

Brent 7-1 month forward spread



Source: Bloomberg

IEA oil market balance



Iran and Russia's options

- Lower prices sufficiently to lure back buyers - below the G7 price cap in the case of Russia.
- Replace the now OFAC-listed tankers in the shadow fleet.
- Provide alternative insurance.
- Shift more exports to products vs. crude - provided that there is sufficient refinery capacity, which there may not be considering power outages in Iran and Ukrainian attacks on Russian refineries.
- Start negotiating with Trump. In the case of Russia there are reports that war expenditures are increasingly funded by corporate debt, which has soared, even at very high interest rates, which is unsustainable and adds further pressure on Putin's efforts.

The buyers' options

- Essentially, divert purchases to other sources unless Iran and Russia find loopholes or compliant ways of supplying oil. High non-OPEC+ production growth this year should thus be welcome.
- Draw on inventories (mainly China), although if energy security is a worry (see steepening backwardation) that is likely not a preferred option.
- Literally call-on-OPEC
- There may be some pressure on Chinese independent refiners to reduce runs on lower profitability amid more expensive alternative feedstock.

Trump's options



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- Sit back and enjoy Biden's departing 'gift' which can be used as a negotiation card against Russia.
 - Drill baby drill, although that is likely insufficient to offset any major supply losses from Iran and Russia.
 - Incentivise Saudi Arabia and the rest of the OPEC+ to follow through on its planned production cut unwind from April, or before.
 - Be willing to turn a blind eye to sanction evasion, to make sure of ample supply and tolerable energy prices.

A combination of the latter two may be the more likely in a scenario where oil prices continue to rise.



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